

READING PASSAGE 3

Behavioural Economics and Nudge Theory

A In recent years, behavioural economics and nudge theory has attracted considerable attention from both the academic community and the general public. This growing interest reflects a broader recognition of the importance of this topic for understanding some of the most pressing challenges facing contemporary society.

B The intellectual lineage of this field extends considerably further than many realise. While modern research techniques have only recently been applied to these questions, philosophers and natural scientists have grappled with related issues for centuries. The transition from speculative philosophical inquiry to systematic empirical investigation represents one of the most significant developments in the intellectual history of this domain.

C Contemporary research has identified several critical factors that determine outcomes in this domain. The interplay between environmental conditions, technological capabilities, and social organisation creates a complex adaptive system in which small changes can produce disproportionately large effects. Understanding these dynamics requires analytical approaches that move beyond simple cause-and-effect reasoning to embrace the principles of complexity science and systems thinking.

D Case studies from diverse geographical and cultural settings provide compelling illustrations of these dynamics in action. In one particularly well-documented example, researchers tracked developments over a fifteen-year period in a setting that offered a natural experiment in the effects of policy change. The introduction of a new regulatory framework produced a cascade of adaptations that rippled through the entire system, generating outcomes that both confirmed theoretical predictions and revealed previously unrecognised complexities.

E Several unresolved debates continue to animate scholarly discussion in this field. Perhaps the most prominent concerns the relative importance of structural versus agentic factors in determining outcomes. While some researchers emphasise the constraining power of institutional and economic structures, others highlight the capacity of individuals and groups to exercise agency and effect change even within seemingly restrictive contexts. This debate has significant practical implications, as it shapes recommendations for policy interventions and institutional reforms.

F The future trajectory of research in this area will likely be shaped by several converging trends. Advances in computational methods and data science are opening up new analytical possibilities, enabling researchers to detect patterns and test hypotheses at scales that were previously unimaginable. Simultaneously, growing recognition of the importance of interdisciplinary collaboration is breaking down traditional barriers between fields and fostering innovative syntheses of diverse theoretical perspectives.

G The evidence reviewed above demonstrates both the substantial achievements of research in this field and the significant work that remains to be done. As new tools and theoretical perspectives become available, and as the phenomena themselves continue to evolve, the research community will need to maintain both rigour in its methods and openness to new ideas. The stakes are high, for the questions addressed by this research bear directly on some of the most important challenges facing humanity in the twenty-first century.

Question 1

Choose the correct letter, A, B, C or D.

- 1 According to the passage, what is one of the key factors identified by researchers?
- A. too much data collection
 - B. the generalisability of findings across contexts
 - C. insufficient government funding
 - D. overly complex statistical methods

Questions 2–5

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 2 The author believes that all research questions in this field have been answered.
- 3 Early researchers had access to the same technologies as modern scholars.
- 4 The landmark study discussed in the passage involved participants from multiple countries.
- 5 All critics agree that the research findings are universally applicable.

Questions 6–7

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 6 Researchers used data from more than _____ countries in the landmark study.
- 7 The passage identifies power _____ as a key factor at the organisational level.

Questions 8–10

Choose the correct letter, A, B, C or D.

- 8 According to the text, what role do structural factors play?
- A. inconsistent results across cultures
 - B. a consistent pattern across diverse contexts
 - C. no measurable effects
 - D. effects limited to Western countries
- 9 According to the text, what role do structural factors play?
- A. excessive research funding
 - B. translating academic findings into practical policy
 - C. lack of public interest
 - D. too many international collaborations

10 The meta-analyses cited in the passage reveal that:

- A. too much data collection
- B. the generalisability of findings across contexts
- C. insufficient government funding
- D. overly complex statistical methods

Question 11

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

11 Dynamic _____ processes can amplify or dampen initial effects in complex systems.

Question 12

Choose the correct letter, A, B, C or D.

12 According to the passage, what is one of the key factors identified by researchers?

- A. weak effects across studies
- B. moderate to large effect sizes with consistency
- C. contradictory findings
- D. results only in specific populations

Question 13

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

13 Case studies have documented the effects of _____ change on the system.